

Unit 10**Privatization****Structure:**

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10.1 Introduction

In the previous unit we discussed the New Economic Policy which was adopted in 1991. We also studied about the financial crisis our country had to face in 1991, the main reason being the inability of the Indian public sector enterprises in generating adequate resources for sustaining the growth process. Whether private or public, every business uses the resources of a nation and society, i.e., human, capital, land and machine. If it cannot add value to these resources then it is a burden on society as well as on the nation. A loss in public sector units not only depletes the nation's resources but also increases the fiscal deficit resulting in inflation. There is a possibility that public ownership somehow leads to lower levels of efficiency compared to private ownership. The public sector is already in the process

of being downsized and the government has already implemented a number of reform measures to make the sector financially viable and competitive. In this unit we shall discuss the major issues that are involved in the current phase of the disinvestment programme as a part of privatization.

Objectives:

After studying this unit, you should be able to:

- explain the meaning of privatization and disinvestment.
- describe the need for privatization.
- identify the methods of disinvestment followed in India.
- describe the merits and demerits of privatization.

10.2 Meaning of Privatization

Privatization refers to transfer of ownership of public sector enterprises from the government to the private sector. In a broader sense, it is the induction of private control and management in the public sector units.

The process of privatization started first in the UK and the USA during 1980s. The UK, under the leadership of Mrs. Thatcher, became the supporter of privatization. It set in motion the programme of privatization of State run enterprises by transferring British Airways to private sector. A number of public sector companies, including railways, oil, telecommunications, mining and bus services were sold off. Privatization of public sector enterprises was undertaken on a large scale by President Ronald Reagan in the USA almost at the same time. This gave a lead to privatization in other developed countries of the world like West Germany, France, Canada, Italy, etc., which were followed by many communist countries and developing countries

10.2.1 Inefficiencies in public sector enterprises

After independence and with the advent of planning, India opted for a public sector oriented planning. It was believed that a dominant public sector would reduce the inequality of income and wealth, and advance the general prosperity of the nation. Nehru looked towards public sector units as the building blocks of India's industrial growth. But none of the objectives could be realised. The performances of the public sector enterprises have, by and large, been far from satisfactory. They often put large financial burden on

public budgets. There is a growing public discontent against them due to the following reasons.

- Economic inefficiency in the production activities due to lack of incentives to perform, and lack of accountability.
- Lack of concern for the customer needs leading to ineffectiveness in the provision of goods and services.
- Instances of corruption and nepotism associated with the organization and management.
- Strong trade-unionism resulting in instigated labour union strikes, unreasonable demand for high wages and lock-outs.
- Over-staffing in the name of eradicating unemployment resulted in disguised unemployment in the industrial sector which affected the efficiency of the unit adversely.
- Interferences by politicians and bureaucrats in the smooth functioning of the public sector enterprises.
- When everyone owns a firm, through the State, nobody has the incentive to design efficient structures to develop the firm.
- Inability to keep pace with technological growth and changed customer demands brings obsolescence to goods and services produced.
- Larger the public sector enterprise, more is the resistance to change in the organization.

These problems have led many governments to shift the publicly managed enterprises to private hands.

10.2.2 Ownership measures

The degree of privatization is judged by the extent of ownership transferred from the public enterprise to the private sector. It can take the following forms.

- i) **Total Denationalisation:** It is a complete transfer of a public enterprise to the private sector. For example, BALCO (Bharat Aluminium Corporation) was acquired by Sterlite Industries, Modern Foods India Limited was acquired by Hindustan Lever Limited, etc.
- ii) **Joint Venture:** This implies joint ownership by both public sector and the private sector. The range of private ownership can vary from 25% on the lower side to 75% and above on the higher side. In case of Maruti Suzuki where, earlier, the majority share was with the

government but after liberalization, Suzuki increased its stake and became the majority stake holder.

- iii) **Liquidation:** The assets are sold to someone who may use those for the same purpose or for any other purpose.
- iv) **Workers' cooperatives:** Here ownership of the enterprise is transferred to workers who may form a co-operative to run the enterprise.

10.2.3 Ways of privatization

There are different ways of achieving privatization. It can be franchising, leasing, contracting and divestiture.

- i) **Franchising:** It is the license to market a company's goods and services in a designated geographical area.
- ii) **Leasing:** This is a kind of tenure ownership. The government transfers the use of assets to private bidders for a specified period. Thus it is a type of management contract. In the leasing agreement the bidder is required to be assured regarding profit sharing between the State and the bidder.
- iii) **Contracting:** Government may contract out services to other organizations that produce and deliver them. Contracting is common in public works, defence, and some specified services. But there is scope for corruption in contracting, and long term contracts tend to encourage monopolistic behavior by the private supplier.
- iv) **Divestiture/Disinvestment:** It means privatization of ownership, through the sale of equity. Out of all these, divestiture is the most significant as ownership is transferred to private corporate entities. In entails selling of stock to the public.

Self Assessment Questions

1. The _____ sector was given a dominant position in the newly independent India.
2. Disinvestment is one of the _____ of privatization.
3. _____ refers to transfer of assets from public to private ownership.
4. Disinvestment means privatization through sale of _____ .

10.3 Objectives of Disinvestment

The following are the main objectives of disinvestment policy.

- To reduce the financial burden of the government.
- Modernisation and upgradation of public sector enterprises.
- To improve public finances for investment in physical and social structure.
- To introduce competition and market discipline and expose the private sector, thereby forcing them to become more efficient.
- Creation of new assets with the private hands so that they can cater to their business needs in a more professional manner.
- Improving the quality of services.
- To improve growth.
- To de-politicise essential services.
- Retiring of public debt.
- In many areas, e.g., the aviation and the telecom sector, the end of public sector monopoly would bring relief to the consumers by way of more choices, and cheaper and better quality of products and services, as has already started happening.

10.3.1 Obstacles to Privatization/ Disinvestment

Compared to the industrial countries, the progress of privatization has been slow in developing countries. Governments confront the following obstacles when they decide to divest the public sector enterprises.

- i) Usually the government tries to sell the least profitable enterprise which the private sector is not willing to buy at a price acceptable to the government.
- ii) Disinvestment / divestiture tend to raise political opposition from employees who may lose their jobs. Politicians fear short-term unemployment since there is a fear of retrenchment of workers by the private owners for cost reduction. Sometimes employees' opposition is due to the fact that the 'easy-going' culture of a public sector would be transformed into 'performance based' culture.
- iii) Relatively undeveloped capital markets sometimes make it difficult for individual buyers to finance large purchases.

10.3.2 Benefits of Privatization

Countries like the UK have shown how they could solve the fiscal crisis of the State and could bring a new industrial bureaucracy. The benefits of privatization may be listed down as follows:

a) *Improvement in managerial efficiency*

Privatization through disinvestment will establish a direct relationship between the shareholders and the management. The private shareholders will have direct interest in increasing the efficiency of these enterprises. The management will not face uncalled-for political pressure and interference. Thus inefficiency due to political interferences will be removed. Management will be guided by economic and commercial considerations. It will help in improving the quality of decision-making. Introduction of 'profit-oriented' decision-making process will improve the efficiency and the performance of the enterprises.

b) *Creation of competitive environment*

Privatization will abolish monopoly of the public sector. Competitive environment can be created since there would be more of similar enterprises. Such an environment will help in improving the competitive strength and efficiency of these enterprises. This will result in the induction of modern and improved technologies.

c) *Ideological grounds*

In advanced countries people favour the idea that public sector enterprises should be confined to essential activities (public utilities like defence, post, law, etc., and providing basic infrastructure) in which the private sector will not show any interest. All other activities should be performed by private sector enterprises since they are more efficient. It enables the government to concentrate more on essential State functions. In fact, the government must not enter into those areas where the private sector can perform better. The role of State should be as a regulator and not as a producer.

d) *Greater flexibility*

Public sector enterprises normally do not enjoy sufficient functional autonomy. Governmental interferences often lead to delay in decision-making. Private management can take quick and timely decisions. This will definitely lead to greater efficiency.

e) **Reduction in Burden on Public Exchequer**

Public sector enterprises have been facing huge losses and have been putting a large burden on the public exchequer. It has been a waste of the tax-payer's hard-earned money. Privatization would be helpful in reducing this financial burden upon the government.

f) **Greater Attention to Consumer Satisfaction**

Public sectors do not give a personal touch and do not care much for the needs of the consumers. On the other hand, the private sector survives on consumer satisfaction. A private sector can sustain in the market only when it cares for the consumers. Hence quality of services improves.

g) **Increase in financial discipline**

Public sector enterprises can get budgetary support irrespective of their performance. But private sector enterprises will be able to raise funds only if they are performing well. Thus, they will be forced to perform well and improve their financial discipline.

h) **Fiscal support**

The demands on the governments, both at the centre and in the states are increasing. There is a compelling need to expand the activities of the State in areas such as education, health, eradication of poverty, creating infrastructure for industrial development, and so on. It is therefore legitimate that a part of the additional resources needed for supporting these activities come from the sale of shares built up earlier by the government out of its resources. It is sometimes argued that the resources raised through disinvestments must be utilized for paying off past debts, and thereby bringing down the interest burden of the government.

10.3.3 Arguments against Privatization

Some of the important arguments against privatization are as follows.

a) **Social welfare neglected**

Privatization policy may neglect the consumers' interests. Private sector enterprisers are interested only in maximizing their profits. They may not bother about social justice and public welfare. Moreover, they may not be interested in acquiring units with long gestation period and low profitability like building dams, flyovers, capital goods industries, etc. Thus public ownership is justified in such cases.

b) Growth of private monopoly

It is sometimes apprehended that the sale of a public sector undertaking to a private company can only result in the substitution of a public monopoly by a private monopoly. This may lead to monopolistic exploitation by efficient private owners replacing the inefficient public ownership. For example, privatization of electricity in Delhi has seen how consumers are exploited through hike in electricity rates.

c) Possibility of unemployment

There is always the fear of retrenchment and consequent unemployment when public enterprises are taken over by the private sector. This has indeed happened in many countries in the past. This is the reason why labour unrest starts when a company is about to be privatized.

d) Possibility of corrupt practices

The implementation of the policy of privatization may open the door to corruption. There is a possibility of under-valuation of assets of public sector units to favour the private sector. For example, in India, the sale of BALCO (Bharat Aluminium Company Limited), a cash-rich public sector company to Sterlite group in 2001 was very much in news for being heavily under-valued.

e) Foregoing future streams of income

Privatization of profitable enterprises means foregoing future stream of income for the government. Sometimes, our firms are acquired by foreign firms. In that case, our future stream of income goes to the foreign countries.

Thus we find that privatization offers both opportunities and threats to the economy. We have to privatize in such a manner that we make the maximum opportunities while at the same time minimizing the threats to the economy.

Self Assessment Questions

5. _____ refers to selling of a public sector unit's equity in the market.
- a) Globalization
 - b) Liberalization
 - c) Privatization
 - d) Disinvestment

6. Which of the following statements regarding Privatization is correct?
- a) Privatization is the solution to all problems.
 - b) Privatization leads to attaining social and economic efficiency.
 - c) Privatization leads to sacrificing future streams of income.
 - d) None of these.

10.4 Privatization / Disinvestment in India

The policy of the government on disinvestment has evolved over a period. A brief account is given below. The disinvestment carried out in India can be divided into two phases as per the mode of investment and the methodologies adopted.

10.4.1 The Initial Phase (1991-92 to 1998-99)

In India, the disinvestment programme started by the Chandrashekhar Government in the interim Budget 1991-92. Afterwards the government announced its new economic policy on 24th July 1991 and stressed the importance of privatization which is an ongoing process even today. The Finance Minister, while presenting the interim budget for the year 1991-92 mentioned, "It has been decided that Government would disinvest up to 20% of its equity in selected public sector undertakings, in favour of mutual funds and financial or investment institutions in the public sector".

Broadly speaking, there are two major reasons for disinvestment in India. One is to provide fiscal support and the other is to improve the efficiency of the enterprise. The demands of the Government are increasing. There is a compelling need to expand the activities of the State in the areas of education, health and medicine. It is therefore justified that a part of the additional resources needed for supporting these activities come out of the sales of shares built up, out of its earlier resources. It is sometimes argued that the resources raised through disinvestment must be utilised for retiring past debts and thereby bringing down the interest burden of the government.

The second important argument in favour of disinvestment in India is the contribution it can make to improve the efficiency of the enterprise. The induction of the public into the ownership structure can also create conditions in which there could be greater autonomy for the functioning of

the public sector enterprise. Disinvestment can therefore be regarded as a tool for enhancing economic efficiency.

10.4.2 The Rangarajan Committee, 1993

After the initial round of disinvestment, the process was guided by recommendations made by the Rangarajan Committee Report, 1993. The recommendations of the Report of the committee on disinvestment of shares of public sectors emphasized the need for substantial disinvestment. The following are the suggestions of the committee.

- a) 49 percent of equity could be divested for industries explicitly reserved for the public sector.
- b) In exceptional cases, the target public ownership level could be kept at 26%, that is, disinvestment could take place to the extent of 74 percent.
- c) In all other cases it recommended 100 percent disinvestment of government stake.
- d) Holding of 51 per cent or more was recommended only for six schedule industries, namely, coal and lignite, mineral oils, arms and ammunition of defence equipment, atomic energy, radioactive minerals, and railway transport.

Other important recommendations of the committee include the following.

- a) The best method for disinvestment is offering shares to the general public at a fixed price. However, till these shares have not been traded so far on the stock market, it would be difficult to decide the 'fixed rate' at which they should be offered to the public. Till then, the auction method with wide participation may be adopted.
- b) Disinvestment should be in stages and sales shall be staggered so as to get the best possible price.
- c) A scheme of preferential offer of shares to workers and employees may be devised.
- d) Ten percent of the proceeds of the privatization may be set apart for lending to the public enterprises on concessional terms for meeting their expansion and rationalization needs.

10.4.3 Disinvestment Commission 1996

The United Front government constituted an independent body, The Disinvestment Commission, on 23rd August 1996 under the chairmanship of

Mr. G.V. Ramakrishnan for drawing a long-term disinvestment programme for the public sector enterprises. The main terms of reference were;

- a) A comprehensive overall long-term disinvestment programme (extent of disinvestment, mode of disinvestment etc.) within 5-10 years for the public sector units referred to it by the core group.
- b) To select the financial advisors for specified PSUs to facilitate the disinvestment process.
- c) To monitor the progress of disinvestment process and take necessary measures and report periodically to the government.
- d) To give wide publicity to the disinvestment proposals so as to ensure larger public participation in the shareholding of the enterprises.
- e) The commission broadly classified the public sector undertakings into two categories for disinvestment, viz., the core group and the non-core group. The core group includes, telecommunication, power, petroleum etc., that are capital-intensive and the non-core group industries are defined as the units where private sectors have already made huge investments. The Commission recommended that the public sector disinvestment in the core sector should be limited to a maximum of 49 percent.

10.4.4 The second Phase (1999-00 to 2003-04)

The government policy in India on privatization has evolved from selling minority shares in 1991-92 to an emphasis on strategic sales during the late 1990s. The department of Disinvestment was set up in 1999 under the Ministry of Disinvestment. Main features of the current Disinvestment policy were laid out in the 2000-01 budget speech. The main features of the policy were as follows:

- To restructure and revive potentially viable PSEs.
- To close down PSEs that cannot be revived.
- To bring down Government equity in all non-strategic PSEs to 26 % or lower, if necessary.
- To fully protect the interests of workers.
- To use the entire receipt from disinvestment for meeting expenditure in social sectors, restructuring of PSEs and retiring public debt.

10.4.5 Progress of Disinvestment in India

The disinvestment programme towards greater privatization of the economy was launched in the year 1991-92 with the announcement of the new economic policy and is an ongoing process even today. The government has been setting disinvestment targets from year to year and has been resorting to different methods and strategies to attract private investors. The following table gives the year-wise position of targets and achievements since 1991-92. Achievements exceed targets only for the years 1991-92, 1994-95, 1998-99, and 2003-04. For the remaining years, achievements have remained far below targets as given in table no. 1.

**Table No.1. Disinvestment of Equity in Public Sector Enterprises
(Rs. in Crores)**

Year	Target	Realization
1991-92	2,500	3,038
1992-93	2,500	1,913
1993-94	3,500	0
1994-95	4,000	4,843
1995-96	7,000	362
1996-97	5,000	380
1997-98	4,800	902
1998-99	5,000	5,371
1999-00	10,000	1,829
2000-01	10,000	1,870
2001-02	12,000	3,436
2002-03	12,000	3,348
2003-04	13,200	15,547
2004-05	4,000	2,684

Source: Compiled from the ministry of Disinvestment data, Government of India. Information of some companies are collected from the website www.divest.nic.in

Some of the cases of privatization in India in the recent years are given in the following table no 2.

Table No.2: Some examples of Privatisation in India

Period	Company	Bidder
Jan 2000	Modern Food Industries Limited (MFIL)	Hindustan Lever Limited
June 2000	Lagan Jute Machinery Co Ltd (LJMC)	Murlidhar Ratanlal Exports
Feb 2001	Bharat Aluminium Co Ltd (BALCO)	Sterlite Industries
Nov 2001	Juhu Centaur Hotel	Tulip Hospitality Services
Feb 2002	Hotel Centaur, Mumbai	A L Batra Group
Feb 2002	Paradeep Phosphates Limited	Zuari Maroc
April 2004	Hindustan Zinc Limited (HZL)	Sterlite Group
May 2002	Maruti Udyog Limited	Suzuki Motors Co
May 2002	Indian Petrochemicals Limited	Reliance Petro investments
May 2002	Kovalam Ashok Beach Resort	M Far Hotels

Source: Compiled from the data released by Government of India
(www.divest.nic.in)

Activity

Find out the names of some more public sector industries which have been disinvested and the name of the bidders from the same website.

Self Assessment Questions

State whether the following statements are true or false.

7. The disinvestment of BALCO took place in February 2001, and Sterlite Industries became the single largest private stake holder in the process. (True/ False)
8. Privatization increases the interference of government and political parties in business. (True/ False)
9. The government policy in India on privatization has evolved from selling minority shares in 1991-92 to an emphasis on strategic sales during the late 1990s. (True/ False)
10. Privatization leads to increased efficiency and greater profitability. (True/ False)

10.5 problems with Privatization (Why it could not succeed)

The disinvestment programme was started in 1991-92 but the process so far has been half-hearted. From April 1991 to Jan 2003, the aggregate of annual disinvestment target was Rs 78, 300 crores, of which only 38 percent has been achieved. Between August 1991 and March 2003, in all, 48 companies underwent the disinvestment process. There can be the following reasons for failure of privatization.

- a) **Unclear objectives:** There were no clear objectives, whether it was to meet deficit, to generate revenue, to increase productivity, to make them more competitive etc. The entire proceeds of disinvestments are being used to mitigate fiscal deficit instead of using them for development of the social sector and building infrastructure.
- b) **Lack of Transparency:** It is alleged that some amount of biasedness is involved in the entire process and it has raised many eyebrows, and has become a big hurdle. The allegations claim that the process has enriched a few privileged.
- c) **Absence of Strategy:** There were no pre-defined norms, standards, or procedures regarding how to disinvest, what to disinvest, when to disinvest, and to whom to disinvest.
- d) **Disinvesting Profit Earning Units:** It has been pointed out that the government has been undertaking disinvestment of enterprises which have been earning profit, even some of them like BPCL, VSNL, ONGC, belonging to the category of Navaratnas (Nine well performing PSEs). This amounts to transferring the assets of the public to big business concerns.
- e) **Lack of Marketing:** The government has failed to attract foreign investors to the disinvestment process in India.
- f) **Under-pricing of public equity:** During the entire disinvestment process, the public equity has been sold for a fraction of what it could actually fetch. This is true of not only the loss making units but also of the profit making companies e.g., ONGC, VSNL, SAIL, MUL, IPCL etc. In fact when BALCO got disinvested the then Chief Minister of Chhattisgarh remarked, "The deal was like loot of Chhattisgarh in a day-light robbery." Another example is that, the Ashoka Hotel in Kovalam (Kerala) was sold for 30 crores when the market price of the land on

which it stands (the best available on the sea-shore) would be around Rs. 500 crores.

- g) **Lack of proper labour strategy:** Before going for disinvestments, labour was not taken into consideration. No proper strategy was formed for their redeployment, training and development. There was labour unrest in BALCO on the issue of disinvestment, and a nationwide strike in public sector banks on the issue of privatization.

Activity

Visit the website <http://www.divest.nic.in> and prepare a presentation on Privatisation in India.

10.6 Summary

- The public sector was built up in India after independence because the government wanted to build a mixed socialistic economy. Thus the State took on the task of building the infrastructure and basic inputs.
- It was believed that a dominant public sector would reduce the inequality of income and wealth, and advance the general prosperity of the nation.
- After a few years it was observed that, instead of adding value to the existing resources of the nation, they had become a burden to the nation.
- The bureaucratic controls along with poor work ethics and quality of services led to lower level of efficiency of the public sector units.
- The importance of induction of private control and management in the public sector units was realized and the privatization process started in 1991-92 with the adoption of the new economic policy.
- The objective was to improve efficiency under private management leading to improvement in growth.
- Obviously, private management leads to greater flexibility in decision-making, creation of more competitive environment, reduction of financial burden on the government, and the additional resources created can be used for other developmental purposes.
- Critiques of privatization put forward the fact that private enterprises do not care for social welfare, and private monopoly may exploit the consumers.

- In spite of the demerits, the Indian government adopted Privatization and the process started in 1991-92. Up to 20% of equity in selected public sector undertakings were sold to public sector institutional investors like LIC, UTI etc.
- In 1993 the Disinvestment Committee under the chairmanship of C. Rangarajan was set up for advice on the mode of investment.
- In 1996 Disinvestment Commission was set up and 58 PSUs were recommended to shift to private management.
- The government policy in India on privatization has evolved from selling minority shares in 1991-92 to an emphasis on strategic sales during the late 1990s. The department of Disinvestment was set up in 1999 under the Ministry of Disinvestment.
- The government has been setting disinvestment targets from year to year and has been resorting to different methods and strategies to attract private investors.
- In India, disinvestment has progressed slowly. It has been carried out in a hasty, unplanned and hesitant manner. As a result, the progress has been quite poor.

10.7 Glossary

- **Privatization:** privatization implies the induction of private ownership in publicly owned enterprises.
- **Disinvestment:** For the purpose of privatization, the government has adopted the route of disinvestment. Disinvestment involves the sale of the public sector equity to the private sector.
- **Navaratna:** This is a name given to nine well performing public sector enterprises. They are, IOC, ONGC, HPCL, BPCL, VSNL, BHEL, SAIL, NTPC. Two more enterprises –GAIL and MTNL were later added to the list.
- **Trade union:** The union of the labourers who are working in companies.
- **Disguised Unemployment:** More people are employed in a particular organization than what is actually required.
- **Strategic sale:** Sale by auction method.
- **Divestiture:** It is same as disinvestment.

10.8 Terminal Questions

1. What is disinvestment? What is the difference between privatization and disinvestment? What are the objectives of disinvestment?
2. How does privatization lead to more efficiency? Discuss.
3. Why do some people object to Privatization?
4. What are the problems with privatization in India?

10.9 Answers**Self Assessment Questions**

1. Public
2. ways/methods
3. Privatization
4. Equity
5. iv
6. iii
7. True
8. False
9. True
10. True

Terminal Questions

1. For meaning, refer 4th point of 10.5. For difference, refer to the glossary. For objectives, refer to 10.6.
2. Refer to 10.8
3. Refer to 10.9.
4. Refer to 10.12.

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